



Document 10: Tier 5 — Strategy Selector (Instrument + Options Strategy Mapping)

Tier 5 is the final layer that converts your **final conviction** into a **trade vehicle decision** (Cash vs Options, and which options structure).

As per your preference, this tier **does not hardcode entry/SL/targets/position sizing**—it only selects the **best instrument/structure** and outputs an actionable **plan template**.

1) Overview

- **Tier: 5** (Execution Decision Layer)
- **Input:**
 - Tier 2 Core Score (S2–S6)
 - Tier 3 Enhancements (S7 + MTAL/ROC/Peers/RSI)
 - Tier 4 Coherence Output (COHERENT / PARTIAL / INCOHERENT)

Message Copilot



AI-generated content may be incorrect

- **Output:**

1.  Trade Allowed? (Yes/No/Wait)
 2.  Vehicle: Cash / Futures / Options
 3.  Options Strategy Type (Directional / Hedged / Neutral)
 4.  Strike selection guidance (rules, not exact strikes)
 5.  Alert template (Telegram + Sheet)
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2) Tier 5 Precedence Rules (Hard First)

Rule 1 — Tier 4 must allow execution

- If Tier 4 = INCOHERENT → ❌ No trade, only log reason
- If Tier 4 = PARTIAL → ⚠️ "Wait / Conditional Alert" mode
- If Tier 4 = COHERENT → proceed to strategy mapping

Rule 2 — Tier 1 / Tier 2 hard blocks cannot be overridden

- $S5 = 0$ → ❌ No trade
- $S3 < 0$ → ❌ Invalid setup
- $S4$ "unswept liquidity" semi-gate → usually **WAIT**, unless your rule exceptions apply (rare)

3) Final Conviction Score (How Tier 5 sees the setup)

Tier 5 expects a single **final conviction number** and a **direction**.

Final Conviction = Core Score + Enhancements ± Coherence modifier

- **Core Score:** Sum of Tier 2 modules (S2–S6)
- **Enhancements:** Tier 3 total (S7 + MTAL/ROC/Peers/RSI)
- **Coherence Modifier (optional):**
 - COHERENT: +1 (or no change)
 - PARTIAL: -2 (or "Wait flag")
 - INCOHERENT: block

You can keep this simple: **Coherence decides Allow/Wait/Block**, no need to add points.

4) Strategy Selector Inputs (What Tier 5 needs)

A) Direction

- Bullish / Bearish / Neutral (rare in swing)
- Direction is derived from:
 - S2 zone type (demand/supply)
 - S5 structure direction (BOS/CHoCH)
 - MTAL bias and S6 participation alignment

B) Conviction Band (High/Medium/Low)

Suggested bands (you can adjust later once full scoring totals are finalized):

- **High Conviction:** Top 20% of your historical scores (or fixed threshold like 75+/100 once normalized)
- **Medium Conviction:** Middle band
- **Low Conviction:** Barely passing

C) IV Percentile (IVP)

- Used to decide:
 - **Buyer strategies** (low IVP)
 - **Seller/credit strategies** (high IVP)
 - **Defined risk** when uncertainty exists

5) Core Mapping Logic (Vehicle Selection)

5.1 Cash vs Options (High-Level)

✓ Prefer Cash / Futures when:

- You want clean swing exposure without IV/Theta complexity
- IVP is extreme/unclear
- Liquidity is poor in options
- You want stress-free holding

✓ Prefer Options when:

- You want defined risk
- Conviction is high but volatility regime supports a structure
- You want leverage without margin complexity

In your framework, **options are primarily a vehicle**, not a prediction tool.

6) Options Strategy Mapping (Main Decision Engine)

Tier 5 selects between 3 buckets:

1. **Directional (Debit / Long Premium)**
2. **Directional with Hedge (Defined Risk Credit / Spreads)**
3. **Neutral / Range (Income structures)** — used only if your framework explicitly marks consolidation/range

6.1 Directional — Long Premium (Best when IVP is LOW)

When to use

- **Direction:** Strong bullish/bearish
- **Conviction:** High
- **IVP:** Low (options relatively cheap)
- **Expectation:** Expansion move coming (often after consolidation + S6 confirms)

Strategies

✓ Bullish:

- **Buy Call** (simplest)
- **Bull Call Spread** (debit spread reduces cost)

✓ Bearish:

- **Buy Put**
- **Bear Put Spread**

Strike selection rules (non-hardcoded)

- Prefer ATM to slightly ITM for swing (better delta reliability)
- Avoid far OTM unless you explicitly accept low probability/high gamma bet



6.2 Directional — Credit / Defined Risk (Best when IVP is HIGH)

When to use

- **Direction:** Bullish/bearish but not “explosive”
- **Conviction:** Medium–High
- **IVP:** High (options expensive)
- **Goal:** Benefit from direction + IV mean reversion + theta

Strategies

✅ Bullish:

- **Bull Put Spread** (sell put spread)
- **Bear Call Spread** (sell call spread)



Bearish:



Why this fits your framework

If S6 says institutional participation is real but the market is volatile (high IV), spreads give you:

- defined risk
- better probability than naked options
- reduced IV crush risk (you're a net seller)



6.3 Neutral / Range Structures (Only when your framework flags consolidation)

When to use

- Tier 4 coherence says: setup is real but **price likely ranges**
- S6 pattern classification says **dry-up** and no structure breakout yet
- Direction is unclear, but you expect time decay

Strategies

- **Iron Condor** (defined risk)
- **Short Strangle/Straddle** (only if you accept higher risk; condor preferred)
- **Calendar spreads** (if you expect IV change)

In your philosophy, this bucket is used carefully. Your framework is primarily built for institutional swing moves, not pure income.

7) Additional Safety Filters (Execution Hygiene)

Tier 5 applies execution filters before sending "GO":

Filter A — Options Liquidity

- Bid-ask spread too wide → avoid options, prefer cash

Filter B — Event Risk (your planned addition)

- If major event is near (results, RBI policy, budget, big macro print):
 - Reduce aggression OR pick defined-risk spreads
 - Or wait until event passes (depends on IVP + coherence)

Filter C — "Extended Move" filter (your trading style)

- If price is far from S2 zone and S6 shows climax:
 - Avoid long premium chasing
 - Wait for pullback to OB or use spreads with better probability

8) Tier 5 Decision Output (3-State)

Tier 5 produces one of these:



EXECUTE

- Tier 4 coherent
- Conviction band = medium/high
- Strategy mapped (cash/options + structure)



WAIT / ALERT ONLY

- Tier 4 partial OR semi-gate (unswept liquidity)
- Sends “conditions to trigger entry” instead of entry call



BLOCK

- Tier 4 incoherent OR hard blocks hit
- Logs reason

9) Strategy Mapping Cheat Sheet (Quick Rules)

If High Conviction + Low IVP

- ✓ Long premium / debit spreads
 - Buy Call/Put or Call/Put spread

If High Conviction + High IVP

- ✓ Credit spreads (defined risk)
 - Bull Put Spread / Bear Call Spread

If Medium Conviction + Any IVP

- ✓ Prefer:
 - Cash swing (if clean)
 - Or defined-risk spreads (avoid naked long options)

If Coherence = PARTIAL

⚠ No entry, only conditional alert:

- "Wait for sweep"
- "Wait for BOS"
- "Wait for S6 confirmation candle"

10) Telegram Alert + Google Sheet Logging (Audit Friendly)

Telegram Alert Template

```
1 [SETUP]: {STOCK} | {BULLISH/BEARISH}
2 Coherence: {COHERENT/PARTIAL/INCOHERENT}
3
4 Core (S2-S6): {score_summary}
5 Enhancements (Tier3): {summary}
6 Key Drivers: {Top 3 reasons}
7
8 Tier5 Decision: {EXECUTE / WAIT / BLOCK}
9 Vehicle: {Cash / Options}
10 Strategy: {Buy Call / Bull Call Spread / Bull Put Spread / ...}
11 IVP: {value} | Vol Regime: {LOW/MID/HIGH}
12
13 Conditions (if WAIT):
14 - {Condition 1}
15 - {Condition 2}
16
17 Notes:
18 - {Any red flags / event risk}
```

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Sheet Log Columns (suggested)

- Date, Stock, Direction, CoreScore, EnhScore, Coherence, IVP, Decision, Strategy, Reasons, WaitConditions, Notes